

Tempus AI, Inc.

TEM NASDAQ

Buy	\$50.84 ▲ 4.20%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$9.13B
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TEM: Open-Source Pathology Consortium Reinforces Data Moat; Reiterate Buy

WHAT'S CHANGED

- TEM launched an Open-Source Digital Pathology Consortium (6/16), an ecosystem play that broadens data inflow and entrenches Tempus as the de facto multimodal reference platform for AI-driven pathology.
- Stock up +4.2% to \$50.84 on accelerating call flow (P/C 0.25; unusual \$53/\$54 strike buying), reversing last week's \$52.32→\$48.79 fade and recapturing the 15th percentile of 52-wk range.

IMPLICATIONS

The pathology consortium is strategically additive — by open-sourcing tooling, TEM lowers adoption friction for health systems while funneling proprietary multimodal data into its training pipeline, reinforcing the core data moat and AI Applications monetization runway. Coupled with bullish near-term options positioning (10.5K calls vs 2.6K puts) and rebuilding institutional sponsorship (ARK 5.5%, BLK 5.1%, Baillie Gifford 5.0%), tape action suggests sentiment is inflecting off oversold levels despite the May Lefkofsky CEO sales (~\$3.2M) overhang. With shares at only 15% of 52-wk range, risk/reward skews favorably into 2H catalysts (Ambry contribution, MRD ramp, pharma services pipeline).

VALUATION

At \$9.13B market cap on ~\$1.48B FY26E revenue, TEM trades at ~6x EV/Sales — a meaningful discount to high-growth diagnostics peers (NTRA, GH at 8-12x) despite a comparable ~30%+ growth profile and superior multimodal data assets. Our \$68 PT (~34% upside) assumes ~8x FY27E sales, justified by AI Applications margin accretion and consortium-driven network effects; downside to \$42 reflects multiple compression if gross margins fail to scale past 65%.

KEY RISKS

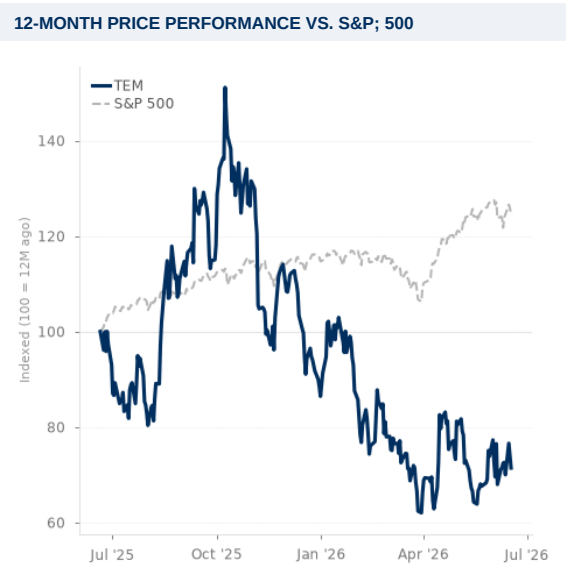
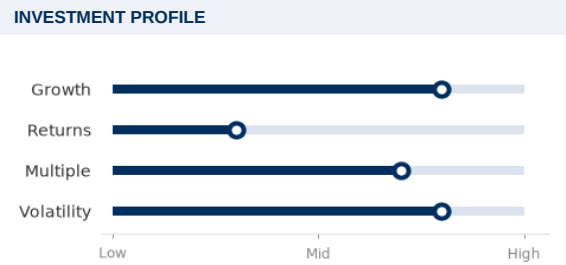
- Continued insider distribution from CEO Lefkofsky pressuring sentiment and float dynamics.
- Reimbursement/coverage decisions on key oncology assays (xT, xF) could compress unit economics.
- Cash burn extension; capital raise risk if path to FCF break-even slips beyond 2027.

RECENT NEWS

Tempus AI, Inc. (TEM) Opens Open-Source Digital Pathology Consortium Insider Monkey · 2026-06-16 12:52

Tempus AI (TEM) Stock After 23% Year-To-Date Decline Is Opportunity Emerging Simply Wall St. · 2026-06-13 02:10

Key Data	
Price (USD)	\$50.84
12M Price Target	\$68.00
Upside / (Downside)	+33.8%
Market Cap	\$9.13B
FY2026E Revenue	\$1,480M
FY2027E Revenue	\$1,920M
FY2026E EPS	(\$1.05)
FY2027E EPS	(\$0.55)
Fwd P/E	N/M



TEM — Tempus AI, Inc. | June 19, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$51.00	\$44.00
6 Months	\$70.00	\$60.00	\$42.00
1 Year	\$92.00	\$68.00	\$38.00
2 Years	\$130.00	\$85.00	\$32.00
5 Years	\$220.00	\$130.00	\$25.00
10 Years	\$425.00	\$215.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare AI/Diagnostics, Technology (AI infrastructure)

COLD SECTORS: Traditional Life Sciences Tools, Energy

ROTATION WATCH: With macro narrative shifting toward AI productivity beneficiaries beyond hyperscalers, capital is rotating into vertical AI applications — healthcare AI is the highest-leverage end-market given clinical labor scarcity and reimbursement tailwinds.

BYPRODUCT PLAY: Pathology AI consortium creates downstream demand for cloud compute, secure health-data infrastructure (SNOW, MDB), and contract research enablement (medical AI labeling/annotation vendors).

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): MRD/Signatera volume growth >40% YoY with expanding Medicare coverage driving sector-leading rev acceleration.
- VEEV (Veeva): Life sciences SaaS posting durable 20%+ growth with best-in-class FCF margins, setting the bar for healthcare-tech multiples.

TEM CONTEXT: TEM is lagging NTRA on price action YTD but the consortium announcement and stabilizing options flow suggest mean-reversion potential; relative valuation gap (6x vs NTRA ~10x EV/S) provides asymmetric setup if execution holds.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-50 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth decel <30% YoY or loss of major health-system partner

Hedging: Paired short vs richer-multiple AI/diagnostics names (e.g., GH or VEEV basket)